

level – to the third week of September, the Sensex surged an astounding 3,000 points.

You might think that I am either bragging about getting my calls on the market right most of the time, or that I am incredibly lucky. Let me assure you, it is neither. The law of averages spares nobody, however skilled or lucky a person may claim to be. The gains from the September rebound helped me make up for the bruising losses I suffered in two stocks – Financial Technologies India Limited (FTIL) and MCX – just the month before. I had trading positions as well as a small investment in each of the stocks. The returns had been average, but I was acting as a market-maker in the stocks at somebody's behest. I would buy shares when the price fell and sell them when it rose.

My losses would be compensated in cash, in case I were to incur any losses. If I made profits, I had to part with some of it. On the whole, it was a profitable transaction for me, since I was being paid to generate volumes in the stocks, and the fluctuations in prices did not hurt me much, even though they did not earn me gigantic returns.

But trouble erupted from the least expected quarter. FTIL had a subsidiary called National Spot Exchange Limited (NSEL), which had been operational since 2007. NSEL was an electronic version of the local *mandi*, meant to help commodity farmers and commodity traders find buyers from across the country for their produce at the best possible prices. As the name suggested, NSEL was to be a spot market where farmers/mill owners/traders could sell their produce directly to the buyers, collect their money and walk away. Forward dealings of any kind were banned. But in the absence of any regulatory supervision, NSEL slowly mutated into a forward market. Claiming to be a spot exchange, NSEL escaped the scanner of the Forward Markets Commission (FMC) for a long time, since FMC's mandate was to regulate forward trading in commodities.

In theory, the sellers would deposit their produce in designated warehouses, and get a warehouse receipt certifying the quality and quantity of the produce. They could sell these receipts, and the buyers could go to the warehouse with the receipts and collect the wares. The commodities that could be traded included bullion (gold, silver, platinum), agri-products (cereals, fibres, spices, paddy, sugar) and metals (steel, copper).

NSEL's first violation of the rules lay in allowing trading in products without government clearance. The second, and more damaging, violation